



House of Representatives

General Assembly

File No. 537

February Session, 2026

Substitute House Bill No. 5510

House of Representatives, April 9, 2026

The Committee on Public Health reported through REP. MCCARTHY VAHEY of the 133rd Dist., Chairperson of the Committee on the part of the House, that the substitute bill ought to pass.

**AN ACT CONCERNING THE DEPARTMENT OF PUBLIC HEALTH'S
RECOMMENDATIONS REGARDING UNLICENSED INSTITUTIONS
AND PRACTICES.**

Be it enacted by the Senate and House of Representatives in General Assembly convened:

1 Section 1. Section 19a-502 of the general statutes is repealed and the
2 following is substituted in lieu thereof (*Effective October 1, 2026*):

3 (a) Any person establishing, conducting, managing or operating any
4 institution without the license required under the provisions of [sections
5 19a-490 to 19a-503, inclusive, or owning real property or improvements
6 upon or within which such an institution is established, conducted,
7 managed or operated,] this chapter or without the certificate required
8 under the provisions of section [19a-491, shall be fined not more than
9 one hundred dollars for each offense, and each day of a continuing
10 violation after conviction shall be considered a separate offense] 19a-561
11 shall be guilty of a class D felony and fined not more than five thousand
12 dollars for each day of continuing action in violation of this chapter or

13 section 19a-561.

14 (b) Any person owning real property or improvements upon or
15 within which an institution is established, conducted, managed or
16 operated without the license required under this chapter or without the
17 certificate required under section 19a-561 shall be fined not more than
18 one hundred dollars for each offense and each day of a continuing
19 violation after conviction shall be considered a separate offense.

20 (c) The penalty provisions of this [subsection] section shall not apply
21 to (1) any financial institution regulated by any state or federal agency
22 or body, which financial institution has succeeded to the title of the
23 premises by mortgage foreclosure and the operator, if any, continues to
24 occupy such property, or (2) a person's failure to apply for a renewal of
25 a license.

26 [(b)] (d) If any person conducting, managing or operating any
27 nursing home facility, as defined in section 19a-521, or residential care
28 home, as defined in section 19a-521, fails to maintain or make available
29 the financial information, data or records required under subsection (d)
30 of section 19a-498, such person's license as a nursing home facility or
31 residential care home administrator may be revoked or suspended in
32 accordance with section 19a-517 or the license of such nursing home
33 facility or residential care home may be revoked or suspended in the
34 manner provided in section 19a-494, or both.

35 Sec. 2. Section 19a-503 of the general statutes is repealed and the
36 following is substituted in lieu thereof (*Effective October 1, 2026*):

37 (a) Notwithstanding the existence or pursuit of any other remedy, the
38 Department of Public Health may, in the manner provided by law and
39 upon the advice of the Attorney General, conduct an investigation and
40 maintain an action in the name of the state for injunction or other
41 process against any person or governmental unit to restrain or prevent
42 the establishment, conduct, management or operation of an institution
43 or nursing facility management services, without a license or certificate
44 under this chapter.

45 (b) The commissioner may, after a hearing held in accordance with
46 chapter 54, impose a civil penalty on any person establishing,
47 conducting, managing or operating any institution without the license
48 required under this chapter or without the certificate required under
49 section 19a-561. The amount of any such civil penalty shall not exceed
50 twenty-five thousand dollars for each day such person is in violation of
51 this chapter or section 19a-561.

52 Sec. 3. Section 19a-11 of the general statutes is repealed and the
53 following is substituted in lieu thereof (*Effective October 1, 2026*):

54 Any board or commission listed in subsection (b) of section 19a-14 or
55 the Department of Public Health, with respect to professions under its
56 jurisdiction that have no board or commission, may, in its discretion,
57 issue [an appropriate] a summary order to any person found to be
58 violating an applicable statute or regulation, providing for the
59 immediate discontinuance of the violation that poses an imminent risk
60 to public health, safety or welfare, pending proceedings to determine
61 whether to issue a cease and desist order. Such board or commission or
62 the department, with respect to professions under its jurisdiction that
63 have no board or commission, may, after a hearing held in accordance
64 with chapter 54, impose a civil penalty not to exceed twenty-five
65 thousand dollars on a person who provides professional services under
66 the department's jurisdiction without a license or certificate issued by
67 the department. For the purposes of this section, each day of the
68 provision of any such services shall be grounds for such a penalty. The
69 board or commission may, through the Attorney General, petition the
70 superior court for the judicial district wherein the violation occurred, or
71 wherein the person committing the violation resides or transacts
72 business, for the enforcement of any order issued by it and for
73 appropriate temporary relief or a restraining order. Such board or
74 commission shall certify and file in such court a transcript of the entire
75 record of the hearing or hearings, including all testimony upon which
76 such order was made and the findings and orders made by such board
77 or commission. The court may grant such relief by injunction or
78 otherwise, including temporary relief, as it deems equitable and may

79 make and enter a decree enforcing, modifying and enforcing as so
80 modified, or setting aside, in whole or in part, any order of the board or
81 commission.

This act shall take effect as follows and shall amend the following sections:

Section 1	October 1, 2026	19a-502
Sec. 2	October 1, 2026	19a-503
Sec. 3	October 1, 2026	19a-11

Statement of Legislative Commissioners:

In Section 3, "In addition to a cease and desist order, such board or commission or the department may, after a hearing held in accordance with chapter 54, impose a civil penalty not to exceed twenty-five thousand dollars for the provision of services without a license or certificate in violation of the provisions of this title." was changed to "Such board or commission or the department, with respect to professions under its jurisdiction that have no board or commission, may, after a hearing held in accordance with chapter 54, impose a civil penalty not to exceed twenty-five thousand dollars on a person who provides professional services under the department's jurisdiction without a license or certificate issued by the department." for clarity and accuracy.

PH *Joint Favorable Subst.*

The following Fiscal Impact Statement and Bill Analysis are prepared for the benefit of the members of the General Assembly, solely for purposes of information, summarization and explanation and do not represent the intent of the General Assembly or either chamber thereof for any purpose. In general, fiscal impacts are based upon a variety of informational sources, including the analyst's professional knowledge. Whenever applicable, agency data is consulted as part of the analysis, however final products do not necessarily reflect an assessment from any specific department.

OFA Fiscal Note

State Impact:

Agency Affected	Fund-Effect	FY 27 \$	FY 28 \$
Public Health, Dept.	GF - Potential Revenue Gain	See Below	See Below
Correction, Dept.; Judicial Dept. (Probation)	GF - Potential Cost	Minimal	Minimal
Resources of the General Fund	GF - Potential Revenue Gain	Minimal	Minimal

Note: GF=General Fund

Municipal Impact: None

Explanation

The bill creates new criminal and civil penalties regarding unlicensed health care institutions and practices, resulting in a General Fund potential revenue gain and a minimal potential cost to the Department of Correction and the Judicial Department beginning in FY 27 as described below.

Section 1 makes it a class D felony to open, manage, or operate a health care facility without the required Department of Public Health (DPH) license or certificate for certain violations, and imposes a maximum \$5,000 daily fine. This results in a potential cost to the Department of Correction and the Judicial Department for incarceration or probation and potential revenue gain to the General Fund beginning in FY 27 dependent on the number of violations and value of fines imposed. On average, the marginal cost to the state for incarcerating an

offender for the year is \$3,300¹ while the average marginal cost for supervision in the community is less than \$600² each year for adults.

Sections 2 and 3 allow DPH (or its licensing boards and commissions) to impose a maximum civil penalty of \$25,000 per day against: (1) an individual who provides professional services without a required DPH license or certificate; or (2) anyone who opens, manages, or operates a health care facility without a required DPH license (or certificate for nursing facility management services). This results in a potential revenue gain to the General Fund beginning in FY 27 dependent on the number of violations and DPH's discretion regarding civil penalties.

The Out Years

The annualized ongoing fiscal impact identified above would continue into the future subject to the number of violations, fines imposed, and value of fines imposed.

¹ Inmate marginal cost is based on increased consumables (e.g., food, clothing, water, sewage, living supplies, etc.) This does not include a change in staffing costs or utility expenses because these expenses would only be realized if a unit or facility opened.

² Probation marginal cost is based on services provided by private providers and only includes costs that increase with each additional participant. This does not include a cost for additional supervision by a probation officer unless a new offense is anticipated to result in enough additional offenders to require additional probation officers.

OLR Bill Analysis**sHB 5510*****AN ACT CONCERNING THE DEPARTMENT OF PUBLIC HEALTH'S RECOMMENDATIONS REGARDING UNLICENSED INSTITUTIONS AND PRACTICES.*****SUMMARY**

This bill allows the Department of Public Health (DPH), after a hearing, to impose a civil penalty of up to \$25,000 per day against (1) an individual who provides professional services without a required DPH license or certificate or (2) anyone who opens, manages, or operates a health care facility without a required DPH license (or certificate for nursing facility management services). For people providing services without the required credential, this action may be taken, as applicable, by DPH or its licensing boards or commissions.

The bill also imposes criminal penalties for opening, managing, or operating a health care facility without the required DPH license or certificate. It generally makes this a class D felony, punishable by up to five years in prison, and the bill sets a maximum \$5,000 daily fine for this offense. But the bill's criminal penalty does not apply to (1) a licensee who fails to apply for renewal or (2) a financial institution taking ownership of a facility after a foreclosure when the operator continues to occupy it.

Under current law, the penalty to open, manage, or operate a health care facility without a required license or certificate is generally \$100 per day. There is currently no overarching penalty for practicing a DPH-regulated profession without a license or certificate, but there are existing criminal penalties for certain professions.

Lastly, the bill specifies that DPH, as well as its licensing boards or commissions as under existing law, can issue a summary order that

someone immediately stop an illegal activity under its jurisdiction. The bill specifies that this authority applies if the person poses an imminent public health or safety risk, pending proceedings on a possible cease and desist order. Existing law also gives DPH specific authority to pursue injunctive relief against facilities operating without the required license (or certificate for nursing facility management services).

The bill also makes minor, technical, and conforming changes.

EFFECTIVE DATE: October 1, 2026

COMMITTEE ACTION

Public Health Committee

Joint Favorable Substitute

Yea 30 Nay 2 (03/23/2026)